You need to supplement your income by doing a little part-time work.

In my view, you're retired when you break out of your former work habit and arrange your financial affairs to live on unearned income. When you opt for bare-bones retirement you fit this definition. You get off the career track and put your entire net worth—or at least most of it—in the bank. That gives you $743 a month, enough to cover your expenses. But you're exposed to the ravages of inflation. That means that one of these days you'll have to earn a couple of extra bucks. You won't come out of retirement. Rather, you'll keep your eyes open for occasional earning opportunities.

Vicki and I met a 42-year-old retiree in Charleston, South Carolina. He had owned a restaurant, but over time had come to hate the long hours and sour, hungry customers every night. He sold out and put his money in the bank. If he had followed the $50-a-Day Rule he could have lived off the interest. But he proceeded to spend most of his stash on an extravagant lifestyle. He bought a yacht, stayed in deluxe hotels, and regularly invited twelve people to dinner at top restaurants. Within a few years he had seriously depleted his capital. What to do?

Wood carving had always been a hobby, so this man decided to carve birds and duck decoys for others. He entered competitions and won prizes. People began to write him, asking to buy his works and if he could repair their antique carvings. Within three years he had turned his hobby into a nifty little business. Now he repairs decoys and carves birds in a friend's garage during Charleston's winter tourist season. He makes about $20,000. That money, plus interest income, supports him and his wife in Key West during the rest of the year. He feels retired, and I think he meets the above definition. But the $20,000 protects him against inflation and lets him lead a slightly better life.

An Argentine friend manages five apartment buildings near his home. It takes him eight to ten hours a month and pays